

Executive Summary

This DCF analysis values Eternal Limited using Free Cash Flow to Firm (FCFF) discounted at WACC across a 10-year explicit forecast period, plus a Gordon Growth Model terminal value. The Base Case yields an implied price of **Rs.87.61**, representing a 65.1% downside to the current market price of Rs.251, suggesting the market is pricing in highly optimistic assumptions. Only the Optimistic Case (Rs.287.17, +14.4%) supports the current valuation.

Methodology & Key Assumptions

Parameter	Base	Opt.	Pess.
Beta (Levered)	0.90	0.75	1.10
Cost of Equity	12.40%	11.52%	13.60%
After-tax Cost of Debt	6.73%	6.73%	6.73%
WACC	13.02%	12.02%	14.36%
Terminal Growth Rate	5.00%	6.00%	4.00%
Risk-free rate: 7.0% (10Y G-Sec) ERP: 6.0% Tax: 25.17% Equity weight: 99.15%			

Revenue Projections (Rs. Crores)

Scenario	FY26E	FY30E	FY35E	CAGR
Base Case	32,236	1,11,900	2,26,238	27.3%
Optimistic	34,449	1,58,586	4,13,524	—
Pessimistic	29,713	76,078	1,19,327	—

Segment Highlights (Base Case)

- Food Delivery: Rs.8,080 Cr → Rs.30,488 Cr; margins 19.1% → 25.0%
- Quick Commerce (Blinkit): Rs.5,206 Cr → Rs.1,01,066 Cr; 40% CAGR; margins from −0.4% → 15.0%
- Hyperpure (B2B): Rs.6,196 Cr → Rs.63,764 Cr; margins → 5.0%
- Going Out: Rs.737 Cr → Rs.10,784 Cr; margins −4.1% → 15.0%

Total Adjusted EBITDA: Rs.2,350 Cr (7.3%) → Rs.31,752 Cr (14.0%) by FY35E.

Free Cash Flow & Valuation Bridge

Base Case FCFF turns positive in FY29E after investment-heavy early years:

Year	FCFF (Cr)	Cumulative PV
FY26E	(1,510.8)	-
FY27E	(1,294.5)	-
FY29E	1,434.3	Positive
FY35E	3,153.7	-
PV of FCFFs		Rs.17,973.6 Cr

Scenario Valuation Results

Component	Base	Opt.	Pess.
PV of FCFFs (Cr)	17,974	58,700	(645)
PV of Terminal Value	50,629	1,99,782	9,750
Enterprise Value	68,603	2,58,482	9,105
(+) Cash & Investments	16,806	16,806	16,806
(−) Total Debt	(2,045)	(2,045)	(2,045)
Equity Value (Cr)	83,364	2,73,243	23,866
Implied Price (Rs.)	87.61	287.17	25.08
Upside / (Downside)	−65.1%	+14.4%	−90.0%

Shares outstanding: 951.5 Cr | Base Case WACC: 13.02% | Terminal growth: 5.0%

Sensitivity — Implied Price (Base Case)

TGR \ WACC	11%	12%	13%	14%	15%
3%	100	87	76	68	61
5%	123	103	88	77	68
7%	168	131	107	90	78

TGR = Terminal Growth Rate. All prices in Rs. Base case cell highlighted at WACC 13%, TGR 5%.

Key Risks & Value Drivers

Value Drivers	Key Risks
Blinkit 40% CAGR growth	Swiggy / Amazon competition
Food delivery margin to 25%	Regulatory & labour risks
Hyperpure scale to Rs.63,764 Cr	Unit economics deterioration
Declining capex intensity	Macro / consumer spending

Conclusion: The Base Case DCF implies Rs.87.61/share — a 65% discount to the current price of Rs.251 — indicating the market is pricing in the Optimistic scenario or beyond. A 100 bps WACC shift moves the price by ~13–15%; a 100 bps change in terminal growth moves it by ~9%. The wide scenario range (Rs.25 to Rs.287) underscores high execution dependency. For informational purposes only. Not investment advice.